

and one where it continues to grow, brings in 80 per cent of the company's revenue (it was over 85 per cent seven to eight years ago). But now with the portfolio boasting cakes, dairy, breads, rusk and wafers, that equation needs to change. "Over the next five years, we want to double our total business, and the non-biscuits part should bring in half the revenue," Berry outlines. Ambitious? Yes, but Berry is convinced it can be done. Rather, it must be done.



THE STRATEGY FOR Britannia is to go for adjacencies. If biscuits, a baked snack, is the core, the approach is to move into rusk, cakes and croissants. "We will move from A to B to C and not A to Z," emphasises Berry. Does total foods mean a play in, say, *atta*, rice or salt? "We are a little away from that. Our strength is ready-to-eat and there is a substantial opportunity," he says calmly. Picking the example of chocolates, Berry explains it is not baked but a snack. "Our right to succeed is limited and, maybe, we could do it through an alliance. For now, the adjacencies are attractive."

Getting a new product out is a time-consuming process. Plus, success rates in fast moving consumer goods for new products are at a low 10 per cent. So, companies do not leave anything to chance. By all counts, with sales of ₹170-180 crore currently, the croissant has been a success for Britannia, which Berry says has not surprised him. Research indicated that while the category did not really exist in India, most of the population with a sweet tooth was likely to go for a centre-filled product. "Croissant is a fairly technical product and not easy for a small manufacturer," he says.

The boxes Berry would like to tick before making a new foray are simple—it does not have to be a large category but Britannia must have a reason to succeed apart from offering volumes and high profitability. Given Britannia is one of the best performing consumer stocks (see graphic 'Up, Up and Away'), the pressure to sustain high margins is unabated. The success in croissants and its Indianisation strikes a chord with Abhijeet Kundu, Senior Vice President of Research at Antique Stock Broking. "We are increasingly getting more westernised in our food but with a big local touch. The inherent advantages for a category like croissant are low penetration and a huge spike for growth," he explains.

PHOTO BY HEMANT MISHRA



GROWING APPETITE



Biscuits contribute nearly 80 per cent to Britannia's revenue, while other categories account for the rest. Over the next five years, the company wants to double its overall business and have a 50:50 split in revenue



The strategy will continue to be one around adjacencies—from biscuits to more of baked snacks like rusk, cakes and croissants



Britannia recently tasted success with croissants, where it successfully adapted an iconic European dish to suit the Indian palate. Its revenue from the business stands at ₹180 crore and is growing



The company is now putting a major thrust on dairy, where success is limited. Setting up a factory in Maharashtra, followed by milk procurement, is expected to drive the value-added story for Britannia



The management wants a good presence in salty snacks, but it will be up against biggies like Haldiram's, Bikaji and Balaji